

German Labour Market (Aug)

Economics

Unemployment highs, turning tides

Germany

- ◆ Seasonally-adjusted unemployment edges higher in August, almost touching the 3 million-threshold
- ◆ The national unemployment rate is at a multi-year high of 6.4%,
- ◆ With the economy stabilising and leading indicators picking up, the unemployment rate should peak in Q1 2027 and start to fall thereafter

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Facts

In August, seasonally-adjusted unemployment rose by 4k (Bloomberg consensus: +5k, HSBC +8k) to 2.996mn. In y-o-y terms, unemployment is up by 37k.

The seasonally-adjusted unemployment rate held stable at 6.4%, while the ILO unemployment rate (which is published with a one-month lag) stayed at a 10-year high of 4.0% in July.

Employment (s.a.) fell for the 17th consecutive month, but the decline of 13k was the smallest since March 2026. In y-o-y terms, employment is down by 224k, the worst print since March 2021 with total employment now at 45.509mn (lowest since August 2022).

Implications

While the German economy has fared surprisingly well amid geopolitical headwinds ([Net trade and government the main drivers in H1](#), 25 Aug), at least so far the labour market has not benefitted yet. Unemployment rates are still on the rise with different measures either at (ILO) or close to 10-year highs (national unemployment rate, chart 2).

But there's reason for hope. The labour market typically responds with a meaningful lag to economic swings, so the stronger growth performance in H1 could start feeding through in the coming months. Aside from some volatility in spring, monthly increases in unemployment have become substantially smaller since late 2025. Importantly, corporate leading indicators such as the HCOB S&P Global PMIs and the ifo Business Climate Index have turned notably more upbeat ([More good news](#), 25 Aug), with labour-related components improving markedly as well. If this momentum is sustained, the recent rise in the flash August Composite PMI employment component suggests employment reductions could soon become a thing of the past. Data from the ifo Employment Barometer and the IAB Labour Market Barometer also point to a slowdown in the pace of lay-offs.

We currently expect the seasonally-adjusted unemployment rate to peak at 6.5% in Q1 2027, followed by a gradual decline over the course of 2027.

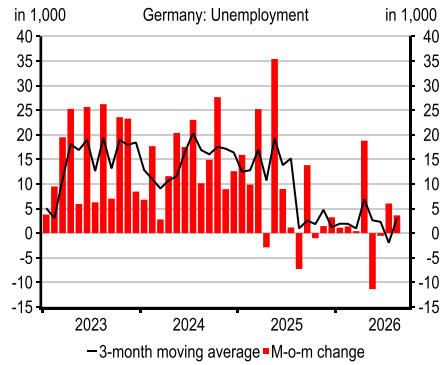
That would be better news for households and consumer spending at a time when inflation headwinds haven't faded yet. Private consumption was a drag on activity in H1 (-0.6% q-o-q in Q1 and just +0.1% q-o-q in Q2). That said, the GfK Consumer Climate improved to -26.6 points for September from -29.4 points (the best reading since March), driven by better economic expectations and a sharp improvement in income expectations—although willingness to buy remains in the doldrums. A genuine improvement in labour market conditions would clearly help encourage households to open their wallets again.

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1: Unemployment changes have become more volatile



Source: Macrobond, HSBC

2: Unemployment rates are at or close to the 10-year high



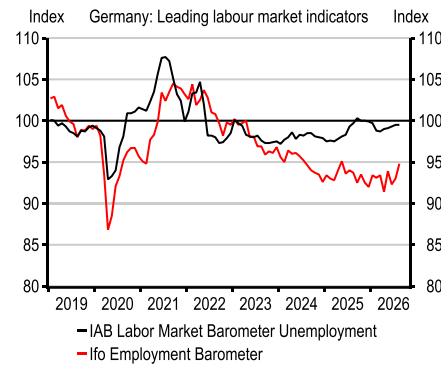
Source: Macrobond, HSBC

3: The Composite PMI indicates an end to job shedding



Source: Macrobond, HSBC

4: Other leading indicators have improved as well



Source: Macrobond, HSBC

Disclosure appendix

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